

◇ NIGHTMOVES VENTURES, LLC

CONFIDENTIAL — ACCREDITED INVESTORS ONLY

Downtown Ardmore Boutique Hotel

105 East Main Street • Ardmore, Oklahoma

INVESTOR UNDERWRITING & CAPITAL STRUCTURE

There is no boutique hotel
in downtown Ardmore.

That gap has existed for decades.

We are closing it.

A 25-KEY BOUTIQUE HOTEL • \$5.46M TOTAL PROJECT • FOUR CAPITAL STRUCTURE OPTIONS

The deal in five figures.

TOTAL PROJECT CAPITAL \$5.46M Acquisition, renovation, FF&E, soft costs	ACQUISITION PRICE \$525K Historic building, 1.19 acres	KEYS 25 Boutique room count • plus restaurant + speakeasy
TARGET INVESTOR IRR 15–25% Range across all four capital options	WORKING ARV → OPTIMISTIC \$6.5M → \$9.8M Conservative working number for lender scrutiny	

PLUS • HISTORIC TAX CREDITS

~\$1.76M

20% federal + 20% Oklahoma state on ~\$4.41M of qualifying rehabilitation — a return enhancement on top of the figures above.

Built for hospitality, again.



ARCHITECTURAL RENDERING • 104 E. MAIN

ADDRESS

105 E. Main Street
Downtown Ardmore, Oklahoma

LAND

1.19 acres

BUILDING

18,904 SF • historic

PROGRAM

25 boutique rooms
Restaurant • alley-entry speakeasy

POSITION

Only boutique in downtown
Triple-access: I-35, Amtrak, pedestrian core

MODELED ADR

\$149 – \$285
vs market chain ADR \$100 — \$155

A transformation into the jewel of downtown.



East Main Street frontage



TODAY • RENDERING



Rear elevation & entry



TODAY • RENDERING



Rooftop terrace & bar



TODAY • RENDERING



Main hall → restaurant & bar



TODAY • RENDERING

Ardmore is built for boutique.

6M⁺

WINSTAR WORLD CASINO

ANNUAL VISITORS • 18 MI SOUTH • DFW-DRIVEN • 1,399 HOTEL
ROOMS SELL OUT ON WEEKENDS

1.7M⁺

LAKE MURRAY STATE PARK

ANNUAL VISITORS • 5 MI EAST • OKLAHOMA'S LARGEST STATE PARK
• SUMMER WEEKENDS SELL OUT

10.9M⁺

I-35 CORRIDOR

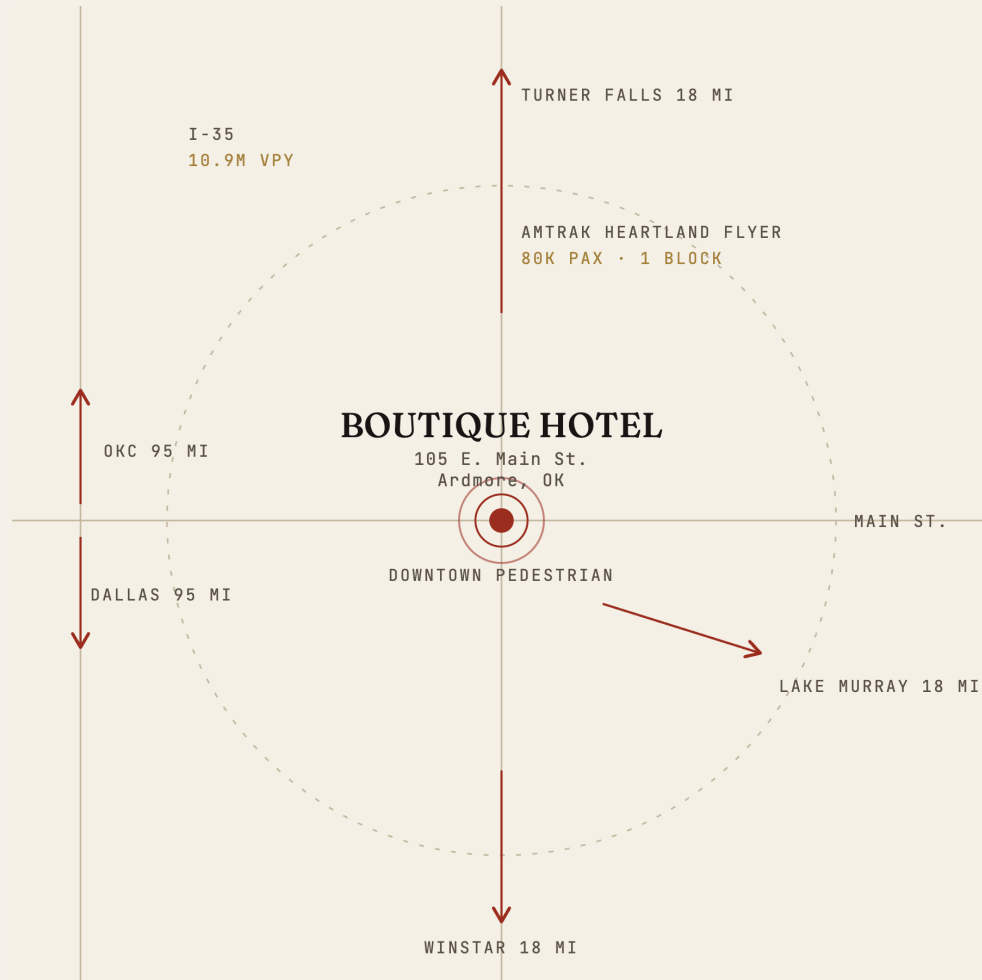
ANNUAL VEHICLES THROUGH ARDMORE • 30,000 VPD AVERAGE •
70,000 PEAK WEEKENDS

80,371

AMTRAK HEARTLAND FLYER

ANNUAL PASSENGERS • STATION *ONE BLOCK* FROM THE PROPERTY

A location no other Ardmore hotel can match.



I-35 The interstate engine.

30,000 vehicles per day average, 70,000+ on holiday and OU-Texas weekends. **10.9M annual pass-throughs.** The corridor that carries DFW's gaming and outdoor traffic into Oklahoma.

RAIL Amtrak's Heartland Flyer.

Daily Fort Worth ↔ Oklahoma City service. **80,371 annual passengers.** The station is at 251 E. Main — *one block* from the property. Walk-to-hotel rail access exists in no other Ardmore lodging.

FOOT Downtown pedestrian core.

Main Street carries **4,300 VPD** directly past the property — with boutique shops, restaurants, and the Convention Center within a half-mile walk.

Thirteen demand engines. Five categories.

GAMING	OUTDOOR	EVENTS	TRANSPORT	LOCAL BASE
WinStar World Casino 6M+ / 18 mi south	Lake Murray State Park 1.7M+ / 5 mi east	Hardy Murphy Coliseum 100K+ visitors / yr	I-35 Corridor 10.9M+ vehicles / yr	Chickasaw Nation 1,500+ employees
Gold Mountain Casino 300 machines / 1.5 mi	Turner Falls & Arbuckles 25 mi north	Ardmore Convention Ctr 50-80 events / yr	Amtrak Heartland Flyer 80,371 passengers / yr	Mercy Hospital Ardmore 900+ regional med hub
Lakecrest Casino Near Lake Murray	Chickasaw Nat'l Rec Regional	Chickasaw Festival Annual / week-long	E. Main St. (Hwy 70) 4,300 VPD frontage	Oil & Gas / Healdton Highest-paying sector

A market in active transition — and tourism is the strategy.

WHAT HAPPENED

Manufacturing took a hit.

- **Michelin** closed — 1,400 jobs
- **AAF / Flanders** closed
- **Woodside H2OK** hydrogen plant cancelled

We name these openly. Investors should price them in — and the next two columns explain why we still pencil.

THE CITY'S RESPONSE

A funded, deliberate pivot.

- **Economic Vision Plan** with VisionFirst Advisors
- **\$1M+ Rapid Community Response** grant deployed
- **Tourism & entrepreneurship** named primary replacement pillars
- **Dot Foods +\$13.9M expansion**; Circulus (Dow) opening 2nd facility
- Industrial Airpark actively marketed — rail, air, foreign trade zone

THE OPPORTUNITY

We are the flagship.

- Tourism is now an **official economic pillar** — not a side bet
- Ardmore Tourism Authority is actively promoting downtown
- Main Street recognized "**America's Favorite**" by Today Show
- 10.3% business application growth — outpacing state

"The city is actively trying to build its tourism economy — and this hotel is the private investment that makes that strategy credible."

Six chain hotels on I-35. Zero downtown.

I-35 CORRIDOR • 1-2 MILES WEST

Hampton Inn & Suites	88 rooms • \$130 – \$155
Hilton Garden Inn	120 rooms • \$125 – \$150
Comfort Inn & Suites	78 rooms • \$100 – \$130
Holiday Inn Express	84 rooms • \$100 – \$125
Budget chains (3—4)	~250 rooms • \$65 – \$95
Lake Murray Lodge	32 rooms • \$140 – \$175

DOWNTOWN ARDMORE

Boutique hotel (proposed) 25 rooms • \$149 – \$285

Downtown boutique options: *zero*.

Boutique hotels nationally outperform chain counterparts by **+20—35% in ADR**. Ardmore market chain occupancy already runs 70—80% — top quartile of small Oklahoma markets. The supply gap is structural, not cyclical.

The math behind a 25-room hotel that prices like a 100-room chain.

CHAIN — I-35 CLUSTER

\$100 – \$155

AVG DAILY RATE

Generic experience — near-highway, branded boxes, transient stays

Volume play — 80–120 rooms each, lower per-key returns

Lower stabilized occupancy when boutique enters the market

No food/beverage upside beyond breakfast

DOWNTOWN ARDMORE — BOUTIQUE

\$149 – \$285

AVG DAILY RATE • +20–35% NATIONAL BOUTIQUE PREMIUM

Experience-driven — historic building, downtown, walkable

Restaurant + speakeasy — F&B captures 25–35% of revenue

First-mover advantage — no other boutique within 90 miles

Stabilized occupancy modeled 65–78% • market baseline 70–80%

THE EXPERIENCE

A dining room worth the drive.

The ground-floor restaurant and alley-entry speakeasy anchor the F&B program — a projected 25—35% of revenue, and the reason downtown Ardmore finally has somewhere to linger after dark.

THE EXPERIENCE

A rooftop nobody else has.

An open-air terrace and bar above Main Street — the only elevated sunset view downtown, and a year-round draw for destination drinks and private events.

Three valuation methods. One conservative working number.

INCOME APPROACH · 60% WEIGHT

Stabilized NOI ÷ cap rate.

CONSERVATIVE · 9.5% CAP\$6,842,105

BASE · 8.5% CAP\$8,751,012

OPTIMISTIC · 7.5% CAP\$11,333,333

Year 3 stabilized NOI of \$743,836 divided by secondary-market boutique cap.

COST APPROACH · 25% WEIGHT

What it would cost to rebuild.

LAND + BUILD + FF&E\$5,839,000

LESS 10% HISTORIC DEP.\$5,256,000

RANGE\$5.18M – \$5.33M

Replacement cost at \$250/SF · 18,904 SF · land 1.19 ac · FF&E \$400K.

PRICE PER KEY · 15% WEIGHT

Boutique sales comp.

CONSERVATIVE · \$125K/KEY\$3,125,000

BASE · \$175K/KEY\$4,375,000

OPTIMISTIC · \$225K/KEY\$5,625,000

Boutique secondary market range: \$125K—\$250K/key.

WORKING NUMBER

\$6,500,000

Deliberately below the weighted conservative ARV — sets up a comfortable lender margin.

\$5.9M

WEIGHTED · CONSERVATIVE

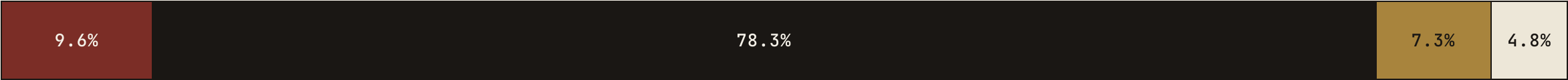
\$7.6M

WEIGHTED · BASE

\$9.8M

WEIGHTED · OPTIMISTIC

\$5,464,200 — where every dollar goes.



ACQUISITION

\$525K

Historic building & 1.19 acres at 105 E. Main

RENOVATION & CONSTRUCTION

\$4.28M

18,904 SF gut + restore • approx \$226/SF all-in

FF&E

\$400K

25 rooms • lobby • restaurant • speakeasy

SOFT COSTS

\$263K

Permits, architecture, pre-opening, working capital

TOTAL PROJECT CAPITAL

\$5,464,200

OFFSET → ~\$1.76M in historic tax credits (40% of ~\$4.41M qualifying rehabilitation) flows back to investors — see next slide.

40% of the rehabilitation comes back as tax credits.

FEDERAL HTC • 20%	OKLAHOMA STATE HTC • 20%	COMBINED CREDITS • 40%	PER \$500K INVESTOR
\$881K	\$881K	\$1.76M	~\$352K

HOW THE CREDITS WORK

- The property is a **certified historic structure** on Ardmore's Main Street — the qualifying basis for both credits.
- Credits equal **40% of Qualified Rehabilitation Expenditures** — the rehab of the historic structure, not acquisition or FF&E.
- QRE base ≈ **\$4.41M**: the ~\$4.28M renovation plus qualifying architecture & permit soft costs.
- Federal credit is claimed **ratably over 5 years**; the Oklahoma credit is **transferable** and can be monetized earlier.

WHAT IT MEANS FOR INVESTORS

- **~\$1.76M flows back to equity** on top of operating and exit returns — a pure return enhancement.
- Each \$575K investor's ~\$352K share lifts the Option 2 base case from **~3.6× to ~4.2×** equity multiple.
- Credits arrive *after* the hotel opens — they do not reduce the capital needed to build, but materially boost after-tax IRR.

Four ways to fund this. One we recommend.

	OPTION 1 Equity + Loan	OPTION 2 • RECOMMENDED ★ Balanced Stack	OPTION 3 Full Equity	OPTION 4 Two Principals
TOTAL EQUITY	\$1.78M	\$2.88M	\$5.46M	\$5.46M
CONSTRUCTION LOAN	\$3.68M	\$2.59M	None	None
INVESTORS	5—8	5—7	8—12	2
MIN. CHECK	\$223K – \$357K	\$411K – \$575K	\$455K – \$683K	~\$2.73M
ANNUAL DEBT SERVICE	~\$300K	~\$210K	\$0	\$0
BALANCE-SHEET REQ.	High • guarantors needed	Medium • lighter guarantee	Low • no loan	Low • no loan
ESTIMATED IRR	15–20%	17–23%	19–25%	19–25%
BEST FOR	Strong-balance-sheet investors wanting leverage	Best overall balance — start here	Cash-rich investors who want zero bank risk	Two principals who want to own it outright, together

Smaller checks. More leverage. Heavier guarantees.

EQUITY RAISE \$1.78M	CONSTRUCTION LOAN \$3.68M	BASE IRR (5 YR) ~17%	EQUITY MULTIPLE ~4.3×
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HOW IT WORKS

- 5 equal investors at **\$356,900 each** (13.3% LP slot each)
- \$3.68M construction loan from 1NB or similar regional lender
- Lender requires investors with combined net worth ≥ 2× loan (~\$7.4M+)
- 12-month interest reserve funded at closing (~\$258K at 7.0%)
- Bank commissions own appraisal — our \$6.5M ARV supports a \$3.68M loan at ~57% of ARV

TRADE-OFFS

- **Personal guarantees required from all investors** — the gating issue
- ~\$300K annual debt service starts after construction completes
- Year-1 cash flow is the tightest of the four options
- Bank approval not guaranteed; conservative 57% loan-to-ARV helps but isn't a yes
- Leverage amplifies returns in the upside *and* the downside

Larger equity. Smaller loan. The cleanest bank story.

EQUITY RAISE	CONSTRUCTION LOAN	BASE IRR (5 YR)	EQUITY MULTIPLE
\$2.88M	\$2.59M	~19%	~3.6×

WHY THIS IS THE RECOMMENDATION

- 5 equal investors at **\$575,000 each** (14% LP slot each)
- Loan-to-cost drops to **47%** — very comfortable for a community lender
- Loan-to-ARV at \$6.5M is **39.8%** — well inside conventional underwriting
- Combined investor net worth of **~\$5.2M+** should clear the bank
- Interest reserve needed drops to **~\$181K** (vs. \$258K in Option 1)

TRADE-OFFS

- Larger check size — investor pool is narrower than Option 1
- Still requires a bank approval and ongoing lender relationship
- Construction loan interest accrues during build
- Five investors each hold significant single-deal concentration
- If bank deal falls through, fallback is shifting toward Option 3

No bank. No debt service. Highest IRR — hardest raise.

EQUITY RAISE \$5.46M	CONSTRUCTION LOAN None	BASE IRR (5 YR) ~22%	EQUITY MULTIPLE ~2.9×
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HOW IT WORKS

- 10 equal investors at **\$546,420 each** (7.0% LP slot each), or 8 at \$683K
- **Zero debt service** — 100% of Year 3+ NOI flows to investors
- **No bank approval** required; deal closes on investor capital alone
- **No personal guarantees** — investors are passive LPs, full stop
- Full exit proceeds available to investors at sale (no debt payoff)

TRADE-OFFS

- Hardest raise — need \$5.46M from private investors alone
- Each investor's percentage stake is smaller (~2.9× multiple vs. ~3.6× in Option 2)
- More investor relationships to manage on an ongoing basis
- No leverage means lower absolute return per dollar invested in the upside
- Requires a deep accredited investor network — 8—12 commitments

Two principals. No bank. The whole project, owned outright.

EQUITY RAISE \$5.46M	CONSTRUCTION LOAN None	BASE IRR (5 YR) ~22%	TAX CREDIT • PER PARTNER ~\$880K
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HOW IT WORKS

- Two equal investors at ~\$2,732,100 each (35% LP slot each) fund the entire project.
- **Zero debt service** — no bank, no construction loan; 100% of Year 3+ NOI flows to the two partners.
- Each partner's pro-rata **historic tax credit** ≈ \$880K — half of the \$1.76M combined credits.
- **No personal guarantees** and no lender relationship — the two principals control the deal end to end.
- Full exit proceeds split between the two partners at sale, with no debt to repay.

TRADE-OFFS

- Largest check of any option — ~\$2.73M each; needs two high-capacity investors.
- Maximum single-deal concentration for each partner.
- No leverage means a lower equity multiple (~2.9×) than the levered Options 1 and 2.
- The entire \$5.46M rides on just two commitments — no margin if one drops out.
- Per-partner returns mirror Option 3; the tax credits are the concentration payoff.

A single investor's view of Option 2, base case.

• Initial investment	\$575,000
+ Return of capital at exit	\$575,000
+ Cumulative 8% preferred (5 yrs)	\$230,000
+ Operating cash distributions • Yrs 2—5 • 14% LP	\$177,000
+ Sale proceeds • 14% of net • ~\$7.86M exit	\$1,100,750
+ Share of historic tax credits • 20% fed + 20% state	\$352,000

= TOTAL RETURN • AFTER TAX CREDITS

\$2,434,750

EQUITY MULTIPLE • W/ CREDITS

~4.2x

EST. IRR • W/ CREDITS

~24%

CONSERVATIVE SCENARIO

\$575K → ~\$2,002,000 • ~3.5x • ~18% IRR • \$7.5M exit • incl. ~\$352K credits

~2.9x / ~13%

Why we lead with Option 2.

Option 2 gives you the best absolute investor returns, the cleanest bank story, and maximum flexibility.

Target *five investors at \$575,000 each*. Use the \$2.875M equity to close the property and begin construction. Simultaneously pursue the \$2.59M construction loan — at *~40% loan-to-ARV*, most community lenders will approve without requiring heavy personal guarantees.

If the bank loan cannot be secured, you can approach existing investors about a bridge or bring in 2–3 additional investors to cover the gap — a structured shift toward Option 3. *The fallback is built in.*

47%

Loan-to-cost ratio • very comfortable for a community lender

39.8%

Loan-to-ARV at \$6.5M working value • inside conventional underwriting

~\$181K

Interest reserve needed at closing • vs \$258K in Option 1

~3.6×

Equity multiple base case • highest absolute dollar return of the four options

For accredited investors only.

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DOWNTOWN ARDMORE BOUTIQUE HOTEL